80%
of accountants and financial professionals in the US are employed within a business or organization

COST ACCOUNTING PRINCIPLES

The Chartered Institute of Management Accounting (CIMA) in the UK and the American Institute of Certified Public Accountants (AICPA), with members in 177 countries, have established Global Management Accounting Principles.

- **Communication provides insight that is influential** Facilitate good decision-making through discussion.
- **Information is relevant** Source best material.
- **Stewardship builds trust** Protect financial and non-financial assets, reputation, and value of organization.
- **Impact on value is analyzed** Develop models to demonstrate outcomes in different scenarios.

Cost of production report (CPR)

CPR shows all of the costs that can be charged to a particular department. *See pp.140–143.*

Budget reports

Reports help management to determine the accuracy of budgets and analyze business performance. *See pp.136–137.*

Cash-flow statement

This shows how well the business will be able to meet its financial obligations and generate cash in the future. *See pp.120–121.*

Balance sheet

The balance sheet estimates the value of assets and inventory held, so that management can reduce it if necessary. *See pp.116–117.*

Profit-and-loss statement

Also called an income statement, the P&L statement tells management how much money the business made or lost over a particular time period. *See pp.114–115.*

Financial analysis is passed to managers

Finance department

Accountants in the finance department (or contracted from outside the business) receive information about the costs from managers. They then use these to generate reports and statements for the managers, who use this information to make decisions for the next financial year.